

Soured relations: On Trump's 25% tariff, 'penalty'

The higher U.S. **tariffs** place India at a relative disadvantage

The 25% tariff "**plus penalty**" on imports of Indian goods in the United States, announced by President Donald Trump, **should** have **come as no surprise** to India. Mr. Trump has, **for a while now**, been **voicing** his **displeasure** at India's dealings with Russia, **with regard to** energy dealings and military equipment. He has also been quite vocal about India's high tariff and non-tariff barriers. These were the reasons he **cited** in his announcement on Wednesday. Add to this these facts — first, **U.S. Trade Representative Jamieson Greer**, as recently as Monday, **had** said that a trade deal with India needed "some more **negotiations**", and second, Indian Commerce Ministry officials had stopped talking about a mini-deal for a while now. Thus, **the writing on the wall** was pretty clear: a deal before August 1 was not **in the offing**. The only **uncertainty in this mix** was the **mercurial** Trump, but he has finally made his position clear. However, while there was an expectation that a mini-deal would not **materialise**, something does seem to have shifted in India-U.S. relations. This is **showing up** now in Mr. Trump's language — as a **snide remark** on Thursday about Pakistan selling oil to India in the future, or he, even more recently, calling the Indian economy "dead". Whether this was him **venting his frustration** at not being able to **secure** a deal with India — after calling himself the "Dealmaker in Chief" — or whether something else has **triggered** him is not clear yet. The fact is that both sides have not **budged** from their **core** policies. The U.S. wants India to reduce its tariffs and provide market access **across the board** and India has **held firm** about **ring-fencing** agriculture and dairy.

All of this makes **negotiating** a **potential bilateral** trade agreement (BTA) that much more complicated. Where government officials have constantly changed deadlines for a mini-deal, they have been **remarkably consistent** about **meeting the Fall deadline** for the BTA. But now Mr. Trump has linked India's dealings with Russia to India's trade relations with the U.S. Who India does business with is a **sovereign** matter, and the Ministry of Commerce and Industry rightfully **reiterated** its **commitment** to securing India's national interest. On the other hand, the U.S. **accounts for** around a fifth of India's exports. The 25% tariffs plus a yet-unknown penalty places India at a relative disadvantage when compared to competitors such as South Korea, Indonesia, Malaysia, the Philippines and Vietnam. Trade **associations** representing several sectors **have** already **voiced** their concern. Indian **negotiators** will have to work **doubly** hard to **conclude** an acceptable deal.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

[Practice Exercise]

Vocabulary

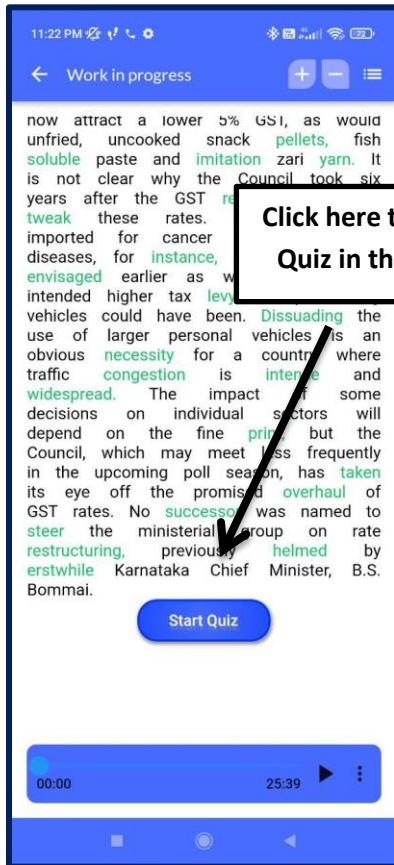
1. **Soured** (adjective) – worsened, deteriorated, damaged, strained, embittered खराब हो गया
2. **Tariff** (noun) – duty, tax, levy, excise, toll शुल्क
3. **Come as no surprise** (phrase) – be expected, be predictable, be foreseeable, be obvious, be understandable आश्चर्यजनक नहीं होना
4. **For a while now** (phrase) – for some time, for a period, for a bit, recently, since some time अब तक के लिए
5. **Voice** (verb) – express, articulate, declare, state, convey व्यक्त करना
6. **Displeasure** (noun) – dissatisfaction, disapproval, annoyance, resentment, irritation असंतोष
7. **With regard to** (phrase) – concerning, about, relating to, in reference to, pertaining to के संदर्भ में
8. **Cite** (verb) – mention, refer, quote, state, name हवाला देना
9. **Negotiation** (noun) – discussion, bargaining, dialogue, talks, deliberation वार्ता
10. **The writing on the wall** (phrase) – warning sign, indication, signal, omen, red flag चेतावनी
11. **In the offing** (phrase) – likely, imminent, upcoming, pending, about to happen संभावना में
12. **Uncertainty** (noun) – doubt, unpredictability, ambiguity, confusion, vagueness अनिश्चितता
13. **In this mix** (phrase) – among these factors, in these elements, in this combination, in this situation, amidst this इन सबमें
14. **Mercurial** (adjective) – unpredictable, volatile, temperamental, erratic, changeable चंचल
15. **Materialise** (verb) – happen, occur, emerge, transpire, actualise वास्तविक रूप लेना
16. **Show up** (phrasal verb) – appear, emerge, surface, turn up, become visible प्रकट होना
17. **Snide** (adjective) – mocking, sarcastic, disparaging, sneering, contemptuous तिरस्कारपूर्ण
18. **Remark** (noun) – comment, statement, observation, note, expression टिप्पणी
19. **Vent one's frustration** (phrase) – express anger, release emotions, let off steam, pour out feelings, unburden oneself अपनी निराशा व्यक्त करना
20. **Secure** (verb) – obtain, achieve, acquire, gain, ensure प्राप्त करना

21. **Trigger** (verb) – provoke, cause, spark, initiate, activate शुरू करना
22. **Budge** (verb) – move, shift, yield, give in, alter टस से मस होना
23. **Core** (adjective) – central, fundamental, essential, primary, crucial मुख्य
24. **Across the board** (phrase) – universally, throughout, extensively, comprehensively, overall समग्र रूप से
25. **Hold firm** (phrase) – stay strong, remain steadfast, stand ground, be resolute, persist अडिग रहना
26. **Ring-fence** (verb) – protect, safeguard, isolate, shield, reserve संरक्षित करना
27. **Negotiate** (verb) – discuss, bargain, deliberate, mediate, deal बातचीत करना
28. **Potential** (adjective) – possible, likely, probable, prospective, latent संभावित
29. **Bilateral** (adjective) – mutual, reciprocal, two-sided, joint, respective द्विपक्षीय
30. **Remarkably** (adverb) – notably, extraordinarily, strikingly, exceptionally, unusually उल्लेखनीय रूप से
31. **Consistent** (adjective) – steady, reliable, uniform, stable, dependable निरंतर
32. **Meet** (verb) – fulfill, achieve, satisfy, reach, comply पूरा करना
33. **The Fall deadline** (noun) – autumn target, autumn due date, autumn limit, autumn cutoff, timeline for fall शरदकालीन समयसीमा
34. **Sovereign** (adjective) – independent, autonomous, self-governing, supreme, self-ruling संप्रभु
35. **Reiterate** (verb) – repeat, restate, emphasize, reaffirm, echo दोहराना
36. **Commitment** (noun) – dedication, pledge, obligation, promise, responsibility प्रतिबद्धता
37. **Account for** (phrasal verb) – constitute, make up, represent, comprise, explain हिस्सा होना
38. **Voice** (verb) – express, articulate, declare, state, utter व्यक्त करना
39. **Negotiator** (noun) – mediator, representative, intermediary, envoy, delegate वार्ताकार
40. **Doubly** (adverb) – twice, especially, particularly, additionally, even more दोगुना
41. **Conclude** (verb) – finalize, complete, close, wrap up, settle निष्कर्ष निकालना

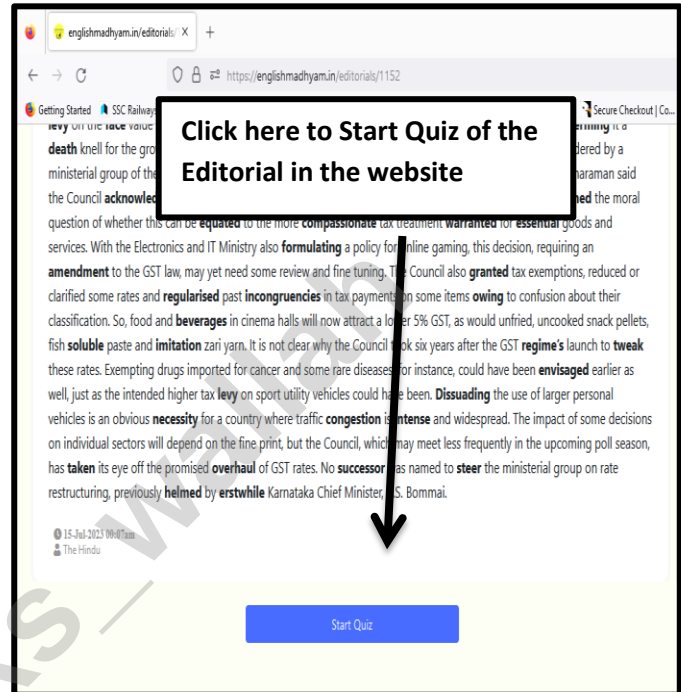
Summary of the Editorial

1. **Trump's 25% Tariff:** President Donald Trump announced a 25% tariff plus an unspecified penalty on Indian imports to the U.S.
2. **No Surprise for India:** The move wasn't unexpected, as Trump had earlier expressed dissatisfaction with India's policies.
3. **Displeasure with Russia Ties:** One major reason cited was India's ongoing energy and defense dealings with Russia.
4. **Tariff & Non-Tariff Barriers:** Trump has been critical of India's high tariff and non-tariff barriers affecting U.S. trade.
5. **Stalled Trade Negotiations:** U.S. Trade Representative Jamieson Greer noted that a trade deal needed more negotiation, signaling a delay.
6. **India Stepped Back:** Indian officials had already stopped talking about the possibility of a mini-deal with the U.S.
7. **No Deal by August 1:** The signs clearly indicated that a trade deal would not be finalized before the deadline.
8. **Trump's Shift in Tone:** Trump has made hostile remarks about India, including referring to its economy as "dead."
9. **Unclear Motivation:** It's unclear if Trump's frustration stems from the failed deal or other geopolitical factors.
10. **Standoff on Core Policies:** Both nations are firm in their positions — the U.S. demands tariff cuts; India defends agriculture and dairy sectors.
11. **Bilateral Trade Agreement Complexity:** The possibility of a broader bilateral trade agreement (BTA) has become more complex.
12. **Changing vs. Fixed Deadlines:** While mini-deal deadlines kept shifting, officials remained committed to a Fall deadline for the BTA.
13. **Russia Linkage:** Trump's comments link India's Russia relations to its U.S. trade standing, raising diplomatic concerns.
14. **Sovereign Trade Decisions:** India's Commerce Ministry asserted its right to make independent trade decisions in the national interest.
15. **India's Export Risk:** The new tariff structure may weaken India's competitiveness against countries like Vietnam, Malaysia, and South Korea, pressuring negotiators to act swiftly.

Practice Exercise: Banking Pattern Based



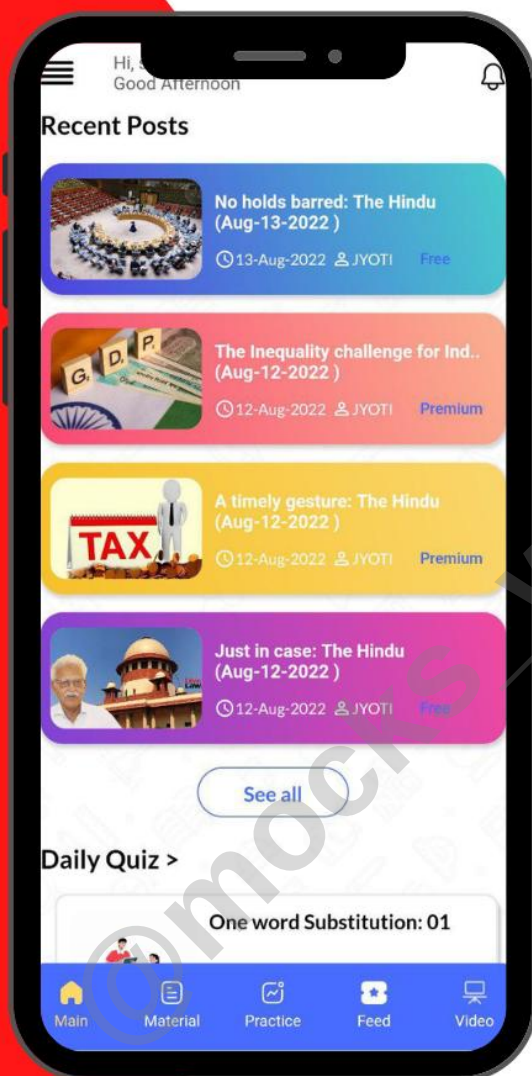
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